

SENATE BILL 765

By Bailey

AN ACT to amend Tennessee Code Annotated, Title 26;
Title 45 and Title 47, relative to banking.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 26-2-203(b), is amended by deleting the subsection and substituting:

(b) The summons to the garnishee must notify the garnishee as follows:

NOTICE — Although you have a longer time in which to answer the court concerning this garnishment, you must, within five (5) business days after you receive the garnishment, determine if you possess or control money or property of the judgment debtor and place a hold on any available funds. Within that same time period of five (5) business days, you must furnish a copy of the garnishment summons and Notice to Judgment Debtor by mailing them first class, postage prepaid, to the judgment debtor's last known address as shown by your records, or by actual delivery to the judgment debtor. If the address shown by your records differs from that shown on this execution form, you must also mail a copy of the garnishment and notice to the latter address.

SECTION 2. Tennessee Code Annotated, Section 26-2-203, is amended by inserting the following as a new subsection (b) and redesignating the existing subsection (b) and remaining subsections accordingly:

(b) Notwithstanding another law or rule to the contrary, a garnishee must, within five (5) business days after receiving a garnishment, determine if the garnishee possesses or controls money or property of the judgment debtor, and furnish a copy of the garnishment summons and notice to judgment debtor as provided in subsection (c).

SECTION 3. Tennessee Code Annotated, Section 47-3-416(b), is amended by adding the following at the end of the subsection:

If the person to whom the warranties are made sends written notice by certified or registered mail or commercial courier to the warrantor of its claim for breach of warranty and the warrantor fails to pay the claim within thirty (30) days after receiving the notice, then the expenses of the person to whom the warranties are made must include reasonable attorney fees.

SECTION 4. Tennessee Code Annotated, Section 47-3-417(b), is amended by inserting the following between the second and third sentences:

If the drawee making payment sends written notice by certified or registered mail or commercial courier to the warrantor of its claim for breach of warranty and the warrantor fails to pay the claim within thirty (30) days after receiving the notice, then the expenses of the drawee to whom the warranties are made must include reasonable attorney fees.

SECTION 5. Tennessee Code Annotated, Section 47-4-207(c), is amended by adding the following at the end of the subsection:

If the person to whom the warranties are made sends written notice by certified or registered mail or commercial courier to the warrantor of its claim for breach of warranty and the warrantor fails to pay the claim within thirty (30) days after receiving the notice, then the expenses of the person to whom the warranties are made must include reasonable attorney fees.

SECTION 6. Tennessee Code Annotated, Section 47-4-208(b), is amended by inserting the following between the second and third sentences:

If the drawee making payment sends written notice by certified or registered mail or commercial courier to the warrantor of its claim for breach of warranty and the warrantor

fails to pay the claim within thirty (30) days after receiving the notice, then the expenses of the drawee to whom the warranties are made must include reasonable attorney fees.

SECTION 7. This act takes effect upon becoming a law, the public welfare requiring it, and applies to acts occurring on or after the effective date of this act.